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GOVERNMENT SCHEMES





PRADHAN MANTRI KISAN URJA SURAKSHA EVAM UTTHAAN MAHABHIYAAN (PM-KUSUM) SCHEME

PM KUSUM

MADE EASY WITH STORY LINE

FOR ALL COMPETITIVE EXAMS



Pradhan Mantri Kisan Urja Suraksha evam Utthaan Mahabhiyan (KUSUM) Scheme

- **Launch:** 2019
- **Nodal Ministry:** Ministry of New & Renewable Energy
- **Objectives:**
  - De-dieselisation of farm sector
  - Providing water and energy security to farmers
  - Increasing income of farmers
  - Curbing environmental pollution
- **Tenure:** Till 31.3.2026
- **Central Financial Support:** ₹34,422 Crore
- **Target:** Solar capacity addition of 34,800 MW by March 2026

Components

- **Component A: Setting up of 10,000 MW of Decentralized Ground/ Stilt Mounted Grid Connected Solar or other Renewable Energy based Power Plants by farmers on their land**
  - Solar or other Renewable Energy based Power Plants (REPP) of capacity of 500 kW to 2 MW will be setup by Renewable Power Generator (RPG)
  - REPP preferably installed within 5 km radius of sub-stations
  - **Eligibility:**
    - REPP would be installed by farmers on his own land either directly by himself or in partnership with group of farmers/ cooperatives/ panchayats/ Farmer Producer Organisations (FPO)/Water User associations (WUA)
    - Or through a developer
    - Farmer may provide (lease) his land to DISCOM
    - **Power Purchase Agreement (PPA)** of 25 years to be executed between RPG and Distribution Companies (DISCOMs)
    - Solar power generated will be purchased by DISCOMs at a feed-in-tariff (FiT) determined by respective State Electricity Regulatory Commission (SERC)
    - DISCOM would be eligible to get **Procurement Based Incentive (PBI)** @ ₹0.40 per unit purchased or ₹6.6 lakh per MW of capacity installed, whichever is less
      - for 5 years from Commercial Operation Date (COD)

- **Component B: Installation of 14 lakh standalone solar agricultural pumps**
  - Individual farmers supported to install standalone Solar Agriculture pumps (of capacity up to 7.5 HP) or replacement of existing diesel Agriculture pumps / irrigation systems
    - in off-grid areas, where grid supply is not available
  - Existing standalone diesel pumps to be covered provided they use micro irrigation techniques
  - **Priority given to small and marginal farmers** and farmers using micro irrigation
  - Pumps of capacity higher than 7.5 HP may be allowed, but Central Financial Assistance (CFA) limited to CFA applicable for pump of 7.5 HP
  - For **individual farmers** in:
    - North-Eastern region (NER), Hilly region (Jammu & Kashmir, Ladakh, Uttarakhand, Himachal Pradesh), Island territories (Andaman & Nicobar, Lakshadweep)
      - **CFA will be available for pump capacity up to 15 HP** – *restricted to **10% of total installations***

- **Implementation in 2 modes**
  - **Central Government** provides financial assistance of 30% (or 50% for North Eastern Region/Hilly region/Islands)
  - **State Government** provides subsidy of at least 30%; and remaining up to 40% is to be provided by bank loan/farmer
- If State Govt is not giving its share of subsidy of 30% but farmers are willing to set up solar water pumping system with Central Financial Assistance only:
  - Central share will remain 30% (or 50%), with remaining 70% in General category states and 50% in Hilly region/NER/Islands being borne by farmer
- **Through Universal Solar Pump Controller (USPC)**
  - Farmers can use solar power for other activities like operating chaff cutter, floor mill, cold storage, drier, etc., and increase his income
- New Solar Agriculture pumps **would not be covered** under this component in **Dark zones/black zones** of water
- For **solar pumps to be set up and used by**
  - Water User Associations (WUA)/Farmer Producer Organizations (FPO)/Primary Agriculture Credit Societies (PACS) or for cluster-based irrigation system
  - **CFA will be allowed for solar pump capacity of higher than 7.5 HP** considering up to 7.5 HP capacity per individual in group

- **Component C: Solarization of 35 lakh Grid Connected Agriculture pumps including Feeder Level Solarization**
  - **Feeder Level Solarization**
    - **Objective**
      - To provide **reliable day-time solar power to farmers**
      - Enhancing **farmers income by purchasing surplus solar power**
      - Thus incentivizing them for saving water
    - **Applicable to farmers already connected to grid**
    - **CFA of 30% (50% in case of NE States, hilly states/UTs and Island UTs),** balance will be met through loan from **NABARD/PFC/REC**
    - **CFA of ₹1.05 Crore per MW**
    - Can be implemented in CAPEX or RESCO (Renewable Energy Service Company) mode
  - **Individual Pump Solarization (IPS)**
    - **2 Options:**
      - Pump to run on both Solar and Grid
      - Pump to run on solar power only
    - CFA – same as Component B

Key Features

- Allows **transfer of quantities between Component-B and Component-C**
- **Solarization of pumps under Component B & C of Scheme included under Agriculture Infrastructure Fund (AIF)** to provide subsidized loans to farmers
- **Demand driven**, therefore capacities are allocated based on demand received from states/UTs
- Will help in **stable and continuous source of income** to rural land owners for a period of 25 years by utilisation of their land
- **Solarisation of agriculture pumps** - under priority sector lending of RBI

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HOME WORK QUESTION

Q. With reference to the PM-KUSUM Scheme, consider the following statements:

1. Under Component A, solar power plants are to be set up by Renewable Power Generators (RPGs) within a radius of 10 km from sub-stations.
2. DISCOMs are eligible for a Procurement Based Incentive (PBI) of ₹0.40 per unit purchased or ₹6.6 lakh per MW of capacity installed, whichever is higher, for 5 years from Commercial Operation Date.
3. In Component B, for farmers in North-Eastern and hilly states, Central Financial Assistance (CFA) is provided up to 50%, while in general category states it is limited to 30%.
4. Under Component C, feeder-level solarization aims at providing reliable day-time solar power to farmers and incentivizing water conservation by allowing surplus solar power sale.
5. The scheme allows transfer of quantities between Component B and Component C, based on demand received from states/UTs.

Which of the above statements are correct?

A. 3, 4 and 5 only

B. 2 and 5 only

C. 3, 4 and 5 only

D. 4 and 5 only

E. 3 and 4 only

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HOME WORK QUESTION FROM PREVIOUS SESSION

Q. Consider the following statements regarding the Multidisciplinary Education and Research Improvement in Technical Education (MERITE) Scheme:

1. MERITE is a Centrally Sponsored Scheme with financial outlay of ₹4,200 crore.
2. Out of the total outlay, ₹2,100 crore will come as external assistance from the World Bank.
3. The scheme will cover 275 technical institutions, including engineering colleges and polytechnics across all States/UTs.
4. The interventions under the scheme are aligned with the National Education Policy (NEP), 2020.

Which of the above statements is/are correct?

A. 1 and 2 only
B. 2, 3 and 4 only
C. 1, 3 and 4 only
D. 2 and 4 only
E. 1, 2, 3 and 4

Answer: Option B

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